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BUSINESS

Eli Lilly Profit and Revenue Rise on New Drugs

Global volumes rose 8% in the latest quarter as realized prices fell 1%

By Austen Hufford
Updated Jan. 31, 2017 at 9:24 am ET

Eli Lilly and Co.'s headquarters in Indianapolis. DARRON CUMMINGS/ASSOCIATED PRESS

Eli Lilly LLY -0.13% ▼ & Co. on Tuesday reported higher profit and revenue as new drugs bolstered results.

Chief Executive David A. Ricks said volume growth was led by diabetes treatments Trulicity, Jardiance and Basaglar, and other recently approved drugs including skin-drug Taltz and cancer-drug Cyramza. Cancer treatment Alimta, antipsychotic medication Zyprexa and antidepressant Cymbalta hurt volumes in the quarter.

In all, global volumes rose 8% in the quarter as realized prices fell 1%.

Sales of Humalog, one of Lilly's biggest products by revenue, grew 3% to $819.8 million as lower realized prices in the U.S. was offset by increased demand. Sales of blockbuster erectile-dysfunction drug Cialis increased 6% to $676.3 million as higher realized prices in the U.S. were partially offset by decreased demand.

Sales in its animal-health division, which Lilly bought from Novartis AG for about $5.4 billion in 2014, grew 3% to $837.6 million. In January, Eli Lilly closed on its acquisition of Boehringer Ingelheim Vetmedica Inc.'s U.S. pet vaccines portfolio for $885 million in a move to grow its animal unit. In the quarter, Lilly took a $147.6 million charge for global severance and integration costs related to the Novartis acquisition.

Also this month, the company reached an agreement to acquire CoLucid Pharmaceuticals Inc. for about $960 million, adding a potential near-term launch to its late-stage drug pipeline. The deal lead the company to cut its unadjusted profit per share guidance for the year to between $2.69 and $2.79, from between $3.51 to $3.61 previously.

The company reaffirmed its revenue and adjusted earnings per-share guidance for the year.

In all for the December quarter, Lilly reported a profit of $771.8 million, or 73 cents a share, up from $478.4 million, or 45 cents a share, a year prior. Excluding other items, earnings per share was 95 cents.

Revenue grew 7.2% to $5.76 billion.

Analysts projected 98 cents in adjusted per-share profit on $5.55 billion in sales.

Shares of Lilly, up 1.2% over the past three months, were inactive in premarket trading.

Corrections & Amplifications
An earlier version of this article incorrectly stated identified Eli Lilly's chief executive as John Lechleiter. The CEO is David A. Ricks. (Jan. 31)

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Austen Hufford covered national economics for The Wall Street Journal in Washington.

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